California
Department of Conservation

Geologic Energy Management Division

SB 406 Implementation Legislative Report

Reporting Period: January 1, 2022 – April 30, 2023

Prepared Pursuant to Senate Bill 406 (Stern, Chapter 727, Statutes 2021)

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ABOUT THE CALIFORNIA GEOLOGIC ENERGY MANAGEMENT DIVISION

The Department of Conservation's California Geologic Energy Management Division (CalGEM) prioritizes the protection of public health, safety, and the environment in its oversight of the oil, natural gas, and geothermal operations in California. To do that, CalGEM uses science and sound engineering practices to regulate the drilling, operation, maintenance, and permanent closure of energy resource wells. CalGEM also regulates certain pipelines and facilities associated with production and injection wells. These regulatory duties include conducting inspections, witnessing, and reviewing tests, and permitting and reviewing operations.

When CalGEM was established in 1915 (then known as the Department of Petroleum and Gas), the initial focus of regulation was the protection of oil and gas resources in the State from production practices that could harm the ultimate level of hydrocarbon recovery. Early CalGEM regulations included well spacing requirements and authority to limit production rates. However, those regulations and the focus of CalGEM have evolved and come to include the protection of public health, safety, and the environment.

CalGEM has grown significantly since it was established in 1915 and has taken major steps to ensure it will be able to handle challenges in a manner consistent with public expectations for a modern, efficient, collaborative, and science-driven regulatory agency. In 2019, the mission of CalGEM changed to include protecting public health and safety, environmental quality, and the reduction and mitigation of greenhouse gas emissions associated with the development of hydrocarbon and geothermal resources in a manner that meets the energy needs of the state.



CalGEM Districts

Effective 2021, CalGEM operates out of three districts to best serve the needs of the State: Northern, Central (formerly Inland), and Southern. Each district has its own offices where staff are available to assist the public and interested parties. For more information about CalGEM, visit: **https://www.conservation.ca.gov/calgem**.

INTRODUCTION

Objective and Scope of the Report

This report provides the first annual progress update on Senate Bill (SB) 406 (Stern, Chapter 727, Statutes 2021) implementation by CalGEM. Public Resources Code section 3108.5 requires that this report address progress on:

- Making all public information collected or maintained by CalGEM, with priority given to well records, well logs, notices of intention, supplementary notices, field reports, inspection reports, correspondence, and other materials, readily available to the public on CalGEM's internet website, except well records required to be held as confidential information pursuant to Public Resources Code section 3234 (organized by well, operator, or project, and searchable) by July 1 2026.
- Making all notices of violation and orders of the State Oil and Gas Supervisor readily available to the public on CalGEM's internet website by July 1, 2024.

This report covers the period between the effective date of SB 406 (January 1, 2022) to April 30, 2023.

Contact Information

For more information, visit CalGEM's webpage at: **https://www.conservation.ca.gov/calgem**.

For questions regarding the content of this report, contact the Department of Conservation's Public Affairs Office at **pao@conservation.ca.gov**.

SB 406 IMPLEMENTATION

Senate Bill (SB) 406 (Stern, Chapter 727, Statutes 2021) requires a number of changes to how data are collected, maintained and made available by the California Geologic Energy Management Division (CalGEM) of the Department of Conservation (Department). The bill also requires CalGEM to create outreach programs and provides that upon receiving a complaint from anyone residing within one mile of a well, not just those who own land or operate wells, CalGEM will investigate the well(s) in question.

The Department and CalGEM are committed to providing transparency in their actions, information, and data. While transparency goals are important, and CalGEM either has, or is in the process of making much of the data requested by this bill public, various components of the bill's requirements pose implementation challenges. This report serves to provide background on the bill's requirements, and CalGEM's success in, and capacity for, implementation with existing staff and resources.

SB 406 requires CalGEM to:

- **Make all public information collected or maintained available on CalGEM's internet website (Public Resources Code [PRC] section 3108.5)**
    - **Mandated Implementation Date: July 1, 2026**
    - **Implementation Status: Partially Implemented**

CalGEM is required to:

- Make all Notices of Violation and Orders of the State Oil and Gas Supervisor (Supervisor) available online by July 1, 2024.
- Make continuous progress towards meeting the requirements and ensure materials readily available to the public online steadily increase.
- Give priority to posting "well records, well logs, notices of intention, supplementary notices, field reports, inspection reports, correspondence, and other materials."
- Give priority to public information previously available on CalGEM's internet website and documents associated with wells that have not been plugged and abandoned.
- Ensure all online materials are organized by well, operator, or project, and searchable.

As part of the commitment to public transparency, CalGEM has developed several public data tools and resources to support public access to CalGEM's data. These tools include a new Well Statewide Tracking and Reporting System (WellSTAR) Public Access Portal, the Online Data Dashboard, Well Finder, and other tools that enable users to access well, permit, and project data; information on well stimulation treatments; and

well maintenance, production, and injection information:

- WellSTAR is CalGEM's system of record, and provides information on well stimulation treatment permits, well stimulation disclosures, well maintenance data, well records, and underground injection control (UIC) projects. CalGEM provides a library of video tutorials for navigating the WellSTAR platform at: **https://www.youtube.com/watch?v=0qUHoahXxOA&list=PLErBtDSML9r5xhyJJ1hvPQIhc_T9u5afr**
- The WellSTAR Data Dashboard is used to view and filter large sets of CalGEM data including injection information, permits UIC, and underground gas storage (UGS): **https://www.conservation.ca.gov/calgem/Online_Data/Pages/WellSTAR-Data-Dashboard.aspx.**
- WellSTAR information for operators is at: **https://www.conservation.ca.gov/calgem/for_operators/Pages/WellSTAR.aspx**
- Well Finder is a web mapping application used to access well, permit and project data. It can help with well locations, status, and histories: **https://www.conservation.ca.gov/calgem/Pages/WellFinder.aspx**
- The Well Record Search function is available for requesting Well Records: **https://filerequest.conservation.ca.gov/WellRecord**
- The Geothermal Data and Maps web page provides access to downloadable data and pdf maps of geothermal fields: **https://maps.conservation.ca.gov/geothermal/**
- The GIS mapping tool uses geographical data to create information-rich maps that benefit understanding, analysis, and decision-making: **https://www.conservation.ca.gov/calgem/maps/Pages/GISMapping2.aspx**

CalGEM has made progress in implementing the bill's mandates. New functionalities in a December 2021 WellSTAR expansion included expanded access to:

- Well, facility, and lease records
- Incident reports
- Inspection reports
- Test records
- Underground injection control projects
- Underground gas storage projects

CalGEM has consistently posted Orders of the Supervisor that have passed the appeal period on CalGEM's website. Additionally, Plug and Abandonment Orders are published when they are issued due to notification requirements. Orders are posted at: **https://www.conservation.ca.gov/calgem/Pages/Division_Orders.aspx**.

Accessibility

Various CalGEM documents remain available to the public through the Department's File Request application system. Many documents were placed on a separate server in

order to meet Assembly Bill 434 (Baker, Chapter 780, Statues of 2017) Americans with Disabilities Act (ADA) requirements for state websites, with CalGEM following the Department of Rehabilitation's understanding of compliance with the bill's requirements. Many of the materials that are accessible to the public through the File Request application would need to be reformatted to meet accessibility requirements before being re-posted to CalGEM's website. In an attempt to identify costs to remediate documents to ensure ADA compliance of approximately 2.7 million CalGEM artifacts, an initial review was performed by several contractors. The initial review estimates that $10 million would only cover a fraction of the data that would need to be converted for ADA compliance. A full assessment of this workload and costs has not been completed.

CalGEM currently requests all new documents submitted by regulated entities be in an ADA compliant format; however, it is not a requirement for operators, and existing staff resources are not adequate for all legacy documents to be remediated and posted to meet the bill's mandate.

- **Create and deliver an education and outreach program to local governmental entities on materials collected and maintained by CalGEM related to oil and gas operations (PRC section 3115)**
    - **Mandated Implementation Date**: **July 1, 2023**
    - **Implementation Status: Implemented**

Local Government Education and Outreach
To continue to improve data accessibility, CalGEM coordinated and delivered various local government education and outreach engagements. Since 2021, CalGEM launched Online Data Workshops, a series of public workshops focused on providing tutorials and resources to the public on how to use its online data platforms, WellSTAR, WellSTAR Data Dashboard, and Well Finder. Five workshops were held in 2021 and six were held in 2022, with ongoing workshops planned. WellSTAR training materials for operators are also available on the Department's webpage, including YouTube tutorial videos, reference guides, and fact sheets for both WellSTAR and other public data services.

Developed in 2021, a Community Concern webpage and mailbox gives the public an opportunity to report non-emergency concerns, problems, or complaints regarding a local operator, an oil and gas well site, or possible oil and gas well happenings in their communities. CalGEM promotes these tools in outreach engagement meetings and presentations, such as the Methane Task Force meetings.

CalGEM began outreach on the Orphan Well State Abandonment Program in 2021 and held the first public meetings in 2022, with a presentation on plans for prioritizing abandonments of orphan and deserted wells; a proposed screening methodology for

ranking and prioritizing wells; the status of federal funding; and an opportunity for public comment. CalGEM also held its first round of local government outreach meetings by region on State Abandonment efforts in early 2022. Then in 2023, CalGEM held eight regional Orphan Well State Abandonment Program outreach meetings, a second round of engagement, to share with local government representatives early findings of the orphan well screening and ranking methodology and gather input to ensure understanding of local needs and priorities. Additionally, CalGEM met with Sacramento County representatives, the Ventura County and Cities Planning Directors Association, the California Conference of Directors of Environmental Health (CCDEH) Water and Land Committee, and the Arvin/Lamont Area Community Steering Committee to engage with the communities and collect their input and state abandonment priorities. Upon request, CalGEM also delivered multiple presentations to local government representatives regarding CalGEM's pilot Methane Drone Monitoring Program in 2022.

In addition to these activities, CalGEM will continue to identify opportunities to share information of interest related to oil and gas operations to local governments.

- **Require a copy of the local land use authorization that supports the installation of a well to be submitted with the Notice of Intention (NOI) for the well**
- **Modify forms used to evaluate NOIs to include local land use authorization expiration dates (PRC section 3203.5)**
    - **Mandated Implementation Date: January 1, 2022**
    - **Implementation Status: Not Implemented**

Operators are responsible for providing documentation to CalGEM indicating that the applicable local agency permit has been obtained. Every permit requires a California Environmental Quality Act (CEQA) review and WellSTAR has a process for entering information for Notice of Intention (NOI) forms. The requirement for forms to include expiration dates for the required local land use authorizations requires modifications to WellSTAR and will be difficult to achieve given inconsistent practices by local agencies.

WellSTAR does offer, as part of the form for submitting permits for review, functionality that allows any permits issued by the local agency to be uploaded by the operator, although not all local agencies issue permits. To include a *requirement* for a copy of the local land use authorization that supports the installation of the well at the time of submittal of the NOI would require a WellSTAR modification, or for CalGEM to implement supplementary procedures and regulations. It is also not possible to alter permit and NOI information and records that pre-date the introduction of WellSTAR forms.

CalGEM has implemented an engagement protocol with key local jurisdictions to confirm and make part of the record accurate local land use permitting documentation. This includes work with the City of Los Angeles to develop and

implement a new process to ensure both CalGEM and the city are coordinated on their review of Notices of Intention.

- **Require the history of a well to include all acid treatment data of any amount (PRC section 3213)**
    - **Mandated Implementation Date: January 1, 2022**
    - **Implementation Status: Implemented**

SB 406 requires the history of a well to include "all acid treatment data of any amount". Prior to SB 406, the well history included the location and amount of sidetracked casings, tools, or other material, the depth and quantity of cement in cement plugs, the shots of dynamite or other explosives, "acid treatment data", and the results of production and other tests during drilling operations.

All data on well stimulation treatments pursuant to PRC section 3160 is currently required to be recorded in the well history. Acid well stimulation treatments include acid matrix stimulation treatments and acid fracturing treatments. Acid matrix stimulation treatments are acid treatments conducted at pressures lower than the applied pressure necessary to fracture the underground geologic formation.

California Code of Regulations, title 14, section 1777.4, also includes reporting requirements relating to well maintenance and cleanout that involves emplacing fluid containing acid in the well. The required information includes a description of the nature and purpose of the operation, the volume of fluid emplaced in the well in the course of the operation, including specification of the gallons per treated foot, and calculation of the acid volume threshold for the operation.

These records are available in WellSTAR, with notifications provided to the CalGEM's Well Stimulation Treatment unit based on volumes and penetration depths.

Subject to approval by CalGEM, an operator is also able to propose a plan for submitting aggregated information regarding a specific type of repeated operation that involves emplacing fluid containing acid in the well yet clearly does not meet the definition of a well stimulation treatment.

SB 406 provides that data reported for acid treatment occurring before December 31, 2021, and that complies with the requirements of section 1777.4, satisfies the bill's new reporting requirement.

On July 18, 2022, CalGEM released a Request for Information (RFI), with comments accepted through August 31, 2022. This document outlined CalGEM's objectives for the

RFI and included discussion questions to aid CalGEM in information and data gathering. Members of the public were encouraged to provide input on how best to accomplish these goals. Suggestions about a specific regulatory approach, comments on objectives, and answers to general discussion questions were invited, together with discussion of the value and benefits of the approach. References to specific wells, published data, and research were highly encouraged.

The stated objectives of the RFI were to:

- Understand the various uses and benefits of currently reported acid treatment data.
- Identify additional information that could be valuable for acid treatment reporting.
- Identify the best-available science for reporting on fluids containing acids used in well operations.
- Explore possible ways to implement new requirements in Public Resources Code section 3213 for the reporting of well treatments containing acid.

The RFI is available at: https://www.conservation.ca.gov/calgem/Documents/CalGEM%20Request%20for%20Information%20Acid%20Treatment%20Data%20Reporting%20July%202022.pdf.

CalGEM received a total of seven written comments from interested parties. CalGEM subject matter experts reviewed, analyzed, and provided appropriate responses to all written comments, and convened a virtual meeting with one of the respondents to discuss their comments and suggestions.

The commenters expressed general support for strengthening regulations related to enhanced acid treatment data reporting. However, CalGEM concluded current requirements for reporting acid treatment data under existing regulations already address the most relevant concerns. In addition, other recent legislation, SB 1137 (Gonzalez, Ch. 365, Statutes of 2022) would impose additional requirements on oil and gas operations that also address commenter concerns. SB 1137 is currently stayed pending a referendum on its provisions.

- **Require operators to provide information electronically (PRC section 3227)**
  - **Mandated Implementation Date: July 1, 2023**
  - **Implementation Status: Mostly Implemented**

Existing law requires the owner of any well to file with the Supervisor a monthly statement that provides certain information relating to the well, including the source, volume, treatment, and disposition of water produced in oil and gas activities. Existing law also

requires the owner of any well to file with the Supervisor, on a quarterly basis, specified information relating to the well and requires any operator that produces oil by the application of mining or other unconventional techniques to file a report with the Supervisor, on or before March 1 of each year, showing the amount of oil produced by those techniques in the preceding calendar year.

SB 406 requires, on or before July 1, 2023, all operators to provide to CalGEM the information described above electronically.

CalGEM's WellSTAR reporting system allows all the required information to be submitted electronically. In February 2023, CalGEM hosted two workshops for oil and gas operators on Form 122, specific to production/injection reporting and annual submission requirements. This included a live demonstration of the submission process to the operators.

A rulemaking process with a specific focus on electronic submissions is required to give clear guidance to operators. Rulemaking activities, in consideration of other regulatory priorities, are being evaluated.

- **Perform an investigation of a well(s) upon receipt of a written complaint from a person residing within a radius of one mile (PRC section 3235)**
    - **Mandated Implementation Date: January 1, 2022**
    - **Assessment of Implementation Capacity by Mandated Date: Implemented**

SB 406 requires the Supervisor to investigate a well or wells upon receipt of a written complaint from any person residing within a radius of one mile of any well or group of wells complained against, in addition to investigating complaints from landowners and operators. In practice, all received complaints are investigated.

Recognizing the need to establish a more formal program for complaint and incident management, CalGEM has established a formal process to document and respond to complaints received from the public. CalGEM staff have also set a goal to respond to all complaints received.

CalGEM's process for handling complaints is as follows:

1. Complaint is received from the public, California Office of Emergency Services, or another agency. This can be received via email or a phone call.
2. A complaint ID is created by staff in WellSTAR and any pertinent pictures or documents are attached to the ID.
3. CalGEM contacts the operator of the well(s) to schedule a field inspection.
4. CalGEM issues a Notice of Violation if warranted and consults with the operator to resolve all issues.
5. CalGEM coordinates with the complainant to ensure satisfaction with the

operator's correction(s).
6. CalGEM resolves the Notice of Violation in WellSTAR and closes the complaint.

To make it easy for the public to raise concerns, CalGEM developed a Community Concern webpage and email for members of the public with non-emergency concerns, problems, or complaints regarding a local operator, an oil and gas well site, or possible oil and gas well happenings in their area, to submit a written concern for direction to the appropriate local district office: **https://www.conservation.ca.gov/calgem/Pages/community-concern.aspx**.

- **Post information supporting the annual rate or rates of assessments on website (PRC section 3412)**
    - **Mandated Implementation Date: January 1, 2022**
    - **Implementation Status: Implemented**

Under existing law, there is a statewide assessment on oil and gas produced in California. This assessment goes to support CalGEM, and is levied pursuant to Article 7, Division 3, of the PRC. The assessment rate is established in June of each year and is based on CalGEM's estimated budget for the ensuing fiscal year and the total amount of assessable oil and gas produced during the prior calendar year. This rate is then imposed on each barrel of oil and each 10,000 cubic feet of natural gas produced. Assessment Notices are then prepared and sent to each producer prior to June 15 each year.

SB 406 requires the Department to post the information supporting the assessment rate on a publicly available portion of its internet website. CalGEM's existing assessment and reporting practices are sufficient to meet this new mandate and, beginning with the 2023 assessment, information supporting the calculation of the annual assessment rate has been posted on the existing assessment web page at: **https://www.conservation.ca.gov/calgem/for_operators/Pages/Assessments.aspx**.

APPENDIX A – PUBLIC RESOURCES CODE SECTION

Public Resources Code section 3108.5

(a) (1) On or before July 1, 2026, the supervisor shall make all public information collected or maintained by the division, with priority given to well records, well logs, notices of intention, supplementary notices, field reports, inspection reports, correspondence, and other materials, readily available to the public on the division's internet website, except well records required to be held as confidential information pursuant to Section 3234. All online materials shall be organized by well, operator, or project, and searchable.

(2) On or before July 1, 2024, the supervisor shall make all notices of violation and orders of the supervisor readily available to the public on the division's internet website.

(b) The supervisor shall make continuous progress towards meeting the requirements of subdivision (a) and the materials readily available to the public online shall steadily increase. Priority shall be given to public information regarding well records, well logs, notices of intention, notices of violation, supplementary notices, field reports, inspection reports, and correspondence previously available on the division's internet website and documents associated with wells that have not been plugged and abandoned.

(c) (1) The supervisor shall, commencing July 1, 2023, provide an annual update to the Assembly Committee on Natural Resources and the Senate Committee on Natural Resources and Water on progress made toward meeting the requirements of subdivision (a).

(2) The requirement for submitting a report imposed under paragraph (1) is inoperative on July 1, 2027, pursuant to Section 10231.5 of the Government Code.

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